

1. DEMAND - SUPPLY OF CAPITAL

We first need to understand the supply and demand side. The supply of capital is way more limited than the demand, which the investors understand well.

This is because far more companies want to raise capital than there are investors. There is thus quite a mismatch between the demand of companies to raise capital and the capital that investors can fund. This is particularly true at early stage.

Investor1



Thus, an active investor gets over 10 pitch decks every single day from different companies.

Investor2



A less active investor also gets about 10 pitches every week or month, depending on how connected they are.

This demand-supply mismatch makes the process quite selective.

But into the market seeking investment, only about 10 or so are able to raise capital. This shows how the process is quite selective.